

Topic 4 – SEMINAR 4

Topic: Housing Market Dynamics around the Globe: Facts and Determinants (with a particular focus on Asian markets)
Format: Small group presentations

Task: Answer the questions below in the pre-allocated sub-groups (Morning: A1-D1; Afternoon: A2-D2). The pre-selected presenters of each sub-group will have to **prepare a short PowerPoint presentation** that summarizes their main insights.

Note: It makes sense for the presenters of each sub-group to assign sub-questions to individual group members. The presenters can then collect the insights of their sub-group members, discuss the answers to the sub-questions, and come up with a collective presentation (common line of reasoning/message). The **total length of your group presentation should be at most 7 minutes**.

You are supposed to answer the questions below for the following housing markets:

Sub-groups A1 and A2: **Beijing or Shanghai**
Sub-groups B1 and B2: **Hong Kong or Singapore**
Sub-groups C1 and C2: **Dubai or Delhi or Sydney or Auckland or Seoul**
Sub-groups D1 and D2: **Houston or Dallas or Las Vegas**

Note: The two presenters of each sub-group can jointly decide which city to pick.

Answer the following questions:

- How cyclical are housing prices in 'your' market? (Provide statistical evidence if you possibly can: e.g., deviation of house price growth from long-term trend growth, house price to income ratio etc., for as long a period as you possibly can.)
- How would you explain the cyclical (or non-cyclical) nature of house prices in your market?
- How relevant is the so-called 'overbuilding' phenomenon in 'your' market? (Again, provide as much statistical evidence as possible: e.g., deviation of actual construction from the long-term trend in construction; vacancy rates.)
- How can you possibly explain the (absence of an) 'overbuilding' phenomenon in 'your' market?

After the presentation, students should **ask questions of understanding** and are invited to **critically assess the sub-group presenters' findings**.